IN THE NATIONAL COMPANY LAW TRIBUNAL, AHMEDABAD
COURT - 2

ITEM No302

CA(CAA)/16(AHM)2023

Proceedings under Section 230-232 of Co. Act, 2013

IN THE MATTER OF:

Ognaj Publication Pvt Ltd **.....Applicant**
Bhavik Publication Pvt Ltd

.....Respondent

Order delivered on 12/04/2023

Coram:

Deep Chandra Joshi, Hon'ble Member(J)
Ajai Das Mehrotra, Hon'ble Member(T)

PRESENT:

For the Applicant : Mr. Amrish Gandhi, PCS
For the Respondent : None

ORDER

The case is fixed for pronouncement of order.

The order is pronounced in open Court vide separate sheet.

-Sd-

AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

-Sd-

DEEP CHANDRA JOSHI
MEMBER (JUDICIAL)

IN THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD BENCH-2

CA (CAA)/16(AHM)/2023

[Sections 230-232 and read with other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016]

In the matter of Scheme of Arrangement in the nature of Amalgamation

OF
Ognaj Publication Private Limited
(Applicant Company No. 1/Transferor Company)

WITH
Bhavik Publication Private Limited
(Applicant Company No. 2/Transferee Company)

AND
Their Respective Shareholders and Creditors

Order Pronounced on: 12/04/2023

CORAM:

Hon'ble Shri Deep Chandra Joshi,
Member (Judicial)

Hon'ble Shri Ajai Das Mehrotra,
Member (Technical)

MEMO OF PARTIES

Ognaj Publication Private Limited

A company incorporated under the
provisions of the Companies Act, 1956
(CIN: U22100GJ2010PTC059304)
Having its registered office situated at
FP 36/2, Survey No. 396, S.G. Highway,
Near Silver Oak Club, Opp. Umiya Campus,
Gota, Ahmedabad 382481

.. Applicant Company No.1/
(Transferor Company)

Bhavik Publication Private Limited

A company incorporated under the
provisions of the Companies Act, 1956
(CIN: U22219GJ2004PTC044664)
Having its registered office situated at
Plot No. 36/2 Nr. Silver Oak Club, Umiya Campus,
S. G. Road, Gota Ahmedabad Gujarat-382481

..Applicant Company No.2/
(Transferee Company)

For the Applicant: Practicing Company Secretary, Mr. Amrish N. Gandhi.

ORDER

1. The present joint Application is filed under Section 230-232 with other applicable provisions of the Companies Act, 2013(hereinafter referred to as "**the Act**") read with the Companies (Compromise, Arrangement and Amalgamations) Rules, 2016 for sanctioning the proposed Scheme of Arrangement (hereinafter referred to as "the Scheme") in the nature of the Amalgamation of **Ognaj Publication Private Limited** (Applicant Transferor Company) with **Bhavik Publication**

Private Limited (Applicant Transferee Company) and their respective Shareholders and Creditors with effect from the Appointed Date i.e. **01st April, 2022**, as per features set out in the Scheme annexed with the application in accordance with Section 230 to 232 of the Companies Act, 2013.

2. It is submitted that the registered office of both the applicant companies are situated within the territorial jurisdiction of the Registrar of Companies, Ahmedabad, Gujarat, which are falling under the jurisdiction of this Tribunal.

3. It is submitted that the Transferee Company having CIN U22219GJ2004PTC044664 is incorporated on 30th August 2004 under the provisions of the Companies Act, 1956 with the ROC, Gujarat with the name "Bhavik Publication Private Limited" and the certificate of incorporation is annexed with the application. The registered office is situated at Plot No 36/2 Nr. Silver Oak Club, Umiya Campus, S.G. Road; Gota Ahmedabad Gujarat 382481 India. The Authorized Share Capital and Issued, Subscribed and Paid-up Share Capital as of 31.03.2022 is as follows:-

AUTHORISED SHARE CAPITAL	**AMOUNT IN RS.**
5,00,000 equity shares of INR 10 each	50,00,000
Total	**50,00,000**

ISSUED, SUBSCRIBED AND PAID UPSHARE CAPITAL	**AMOUNT IN RS.**

5,00,000 equity shares of INR 10 each	50,00,000
Total	**50,00,000**

4. It is submitted that the Transferor Company having CIN U22100GJ2010PTC059304 is incorporated on 23rd January 2010 under the provisions of the Companies Act, 1956 with the ROC, Gujarat with the name "OGNAJ PUBLICATION PRIVATE LIMITED" and the certificate of incorporation is annexed with the application. The registered office is situated at FP 36/2, Survey No. 396, S.G. Highway, Near Silver Oak Club, Opp. Umiya Campus, Gota Ahmedabad Gujarat 382481 India. The Authorized Share Capital and Issued, Subscribed and Paid-up Share Capital as of 31.03.2022 is as follows:-

AUTHORISED SHARE CAPITAL	**AMOUNT IN RS.**
9,10,000 equity shares of INR 10 each	91,00,000
Total	**91,00,000**

ISSUED, SUBSCRIBED AND PAID UPSHARE CAPITAL	**AMOUNT IN RS.**
9,10,000 equity shares of INR 10 each	91,00,000
Total	**91,00,000**

5. The Applicant Companies are empowered by their respective Memorandum and Articles of Association to enter into the Scheme of Arrangement. Copies of the Memorandum and Articles of Association of both the Applicant Companies are annexed with the application. The copies of Audited Financial

Statements of both the Applicant Companies asof 31.03.2022 are annexed with the application also placed on record.

6. The Board of Directors of both the Applicant Companies have approved the Scheme at their respective Board Meetings held on 02nd January, 2023. Copies of the respective Board Resolutions passed on 02nd January, 2023 of all the respective ApplicantCompanies are placed on record. The Appointed Date for the Scheme is 1st April, 2022.

7. As per clause 12 of the Scheme, no consideration in form of shares is required to be issued on approval of this Scheme of merger as the Transferor Company is a Wholly Owned Subsidiary Company of the Transferee Company.

8. Both the Applicant Companies have filed the certificates from the respective Statutory Auditors confirming the proposed Accounting Treatment being in conformity with the applicable Accounting Standard u/s. 133 of the Companies Act, 2013 read with Rule 7 of theCompanies (Accounts) Rules, 2014.

9. It is submitted that no investigation or proceedings under Sections 235 to 251 of the Companies Act, 1956 as well as Sections 210 to 226 of the Companies Act, 2013 are instituted or are pending against the Applicant Companies.

10. It is submitted that the provisions of the Competition Act,2002 are not applicable to the present Scheme and hence no notice is required to be served on the Competition Commission of India.

11. It is further submitted that no notice is required to be served to the Reserve Bank of India as provisions of the FEMA Act are not attracted in the present Scheme of Amalgamation as there are no new shares being allotted to any non-resident.

12. With respect to the Transferee Company, it is stated that:-

a. There are 2 (Two) equity shareholders and a certificate from the Chartered Accountant certifying the list of shareholders is annexed with the application. Both equity shareholders have given their consents by way of affidavits for the proposed Scheme, which are annexed with the application. Hence, the Company is seeking dispensation for holding the meeting of Equity Shareholders;

b. There are 3 (Three) Secured Creditors and a certificate from the Chartered Accountant certifying the list of secured creditors is annexed with the application. Hence, the Company is seeking to hold and convene the meeting of the Secured Creditors;

c. There are 86 (Eighty-Six) Unsecured Creditors and a certificate from a Chartered Accountant certifying the list of Unsecured creditors is annexed with the application. Hence, the Company is seeking to hold and convene the meeting of the Unsecured Creditors.

13. With respect to the Transferor Company, it is stated that:-

a. It is a wholly-owned subsidiary of the Transferee Company and being the Sole Equity Shareholder of the Transferor Company has given its consent *qua* an

Affidavit approving the Scheme of Amalgamation, a copy of which is annexed with this application. The list of Equity Shareholders as certified by the Chartered Accountant is annexed with the Application. Hence, the Company is seeking dispensation for holding the meeting of Equity Shareholders.

b. There is 1 (one) secured creditor and a certificate from the Chartered Accountant certifying that there is 1(one) secured creditor is annexed with the application. The Transferor Company has prayed to convene the meeting of Secured Creditor to consider, and if thought fit, to approve the Scheme of Amalgamation, with or without modifications.

c. There are 7 (Seven) Unsecured Creditors and a certificate from the Chartered Accountant certifying the list of Unsecured Creditors is annexed with the application. Hence, the Company is seeking to hold and convene the meeting of the Unsecured Creditors;

14. Taking into consideration the submissions and documents filed therewith, we issue the following directions with respect to convening or dispensing the meeting of Equity Shareholders, Secured/Unsecured Creditors as well as the issue of notices:

(i) <u>In relation to the Transferee Company</u>

a) <u>With respect to Equity Shareholders:</u>

Convening of the meeting of equity shareholders of the Company is hereby dispensed with, in view of 100% consent affidavits received from shareholders.

b) <u>With respect to Secured Creditors:</u>

The meeting of the Secured Creditors of the Company shall be convened on Saturday, 17th June, 2023 at 11:30 A.M.

c) With respect to Unsecured Creditors:

The meeting of the Unsecured Creditors of the Company shall be convened on Saturday, 17th June, 2023 at 12:30 P.M.

(ii) In relation to the Transferor Company:

a) With respect to Equity Shareholders:

Convening of the meeting of equity shareholders of the Company is hereby dispensed with, in view of the consent affidavit and the fact that the Transferor Company is a wholly-owned subsidiary of the Transferee Company.

b) With respect to Secured Creditors:

The meeting of the Sole Secured Creditor of the Company shall be convened on Saturday, 17th June, 2023 at 03:00 P.M.

c) With respect to Unsecured Creditors:

The meeting of the Unsecured Creditors of the Company shall be convened on Saturday, 17th June, 2023 at 04:00 P.M.

15. The quorum of all the meetings of both Applicant Companies shall be as prescribed in the Companies Act, 2013 and Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

16. The venue of all the meetings of concerned stakeholders to be convened shall be at Plot No. 36/2 Nr. Silver Oak Club, Umiya Campus, S. G. Road; Gota Ahmedabad Gujarat-382481.

17. Individual notice(s) convening the aforesaid meetings shall be separately sent by the concerned Applicant Companies to their respective stakeholders as aforementioned, by post/air-mail, courier/messenger/e-mail / hand delivery, at their particular last known addresses on record of the Applicant Companies, at least 30 (thirty) clear days in advance before the scheduled date of the meeting, indicating the day, date, place and the time as above-stated. The respective notices shall be sent together with a copy of the Scheme of Arrangement, a copy of the explanatory statement disclosing necessary details and the prescribed form of proxy, as required to be sent under the Companies Act, 2013. Additionally, any other document, as may be prescribed under the Act or Rules, or which may be needed for instruction/elaboration, such as guidelines for the ballot, voting, proxy, etc. shall be also sent along with the corresponding notices. The notices shall be sent in reference to the list of the creditors appearing on the record of the Applicant Companies as of 31st December 2022 and the voting percentage of such creditors as per the list is to be decided after considering the amount of debt as on the date of voting, which is to be ensured by the Chairperson.

18. The Applicant Companies shall publish an advertisement with a clear gap of at least 30 days prior to/before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be

published in "Indian Express", English daily and "Jayhind", Gujarati daily, Ahmedabad Edition. The publication shall also indicate that the copies of the Scheme of Arrangement, the Explanatory Statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the registered office of the Applicant Companies to the concerned persons.

19. Mr. Parth Pandya, having CP: 26154, Independent Practicing Company Secretary is hereby appointed as Chairperson of the aforesaid meetings and in respect of any adjournment or adjournments thereof.

20. Mr. Samsad Alam Khan, having CP: 13972, Independent Practicing Company Secretary shall act as the Scrutinizer of the aforesaid meetings and in respect of any adjournment thereof.

21. The Chairperson appointed for the aforesaid meetings shall issue the advertisements and send out the notices of the meetings referred to above.

22. The Chairperson shall file an affidavit not less than 7(seven) days before the date fixed for the holding of the meetings and report to this Tribunal that the directions regarding issuance of notices and advertisement of the meeting have been duly complied with as per Rule 12 of the Companies (CAA) Rules, 2016.

23. It is further ordered that the Chairperson appointed for the aforesaid meetings shall report to this Tribunal the result of the meeting in Form No. CAA.4, verified by his affidavit, as per

Rule 14 of the Companies (CAA) Rules, 2016 in from No. CAA.4 within seven days after the conclusion of the meeting.

24. Voting by proxy/authorized representative is permitted provided that the proxy is in the prescribed form/authorization duly signed by the person entitled to attend and vote at the aforesaid meeting is filed with the applicant companies not later than 48 hours before the said meeting, vide Rule 10 of the Companies (CAA) Rules, 2016 read with section 105 of the Act.

25. The number and value of debt of the Secured /Unsecured Creditors of the Applicant Companies, as the case may be, shall be in accordance with the entries in the books of accounts of the Applicant Companies for Secured/Unsecured Creditors and where the entries in the records are disputed, the Chairperson of the meetings shall determine the value for the purpose(s) of the meetings.

26. In compliance with sub-section (5) of section 230 and Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016, the Applicant Companies shall send a notice in Form No. CAA. 3 along with explanatory statement and disclosures mentioned under Rule 6, to **(i)** the Central Government through the Regional Director, North Western Region, **(ii)** the Registrar of Companies, Gujarat, Dadra and Nagar Haveli **(iii)** to the Income Tax Department along with full details of assessing officer and PAN numbers of all the applicant companies and **(iv)** the Office of the Official Liquidator stating that representations, if any, to be made by them be

made within a period of 30 days from the date of receipt of such notice, failing which it shall be presumed that they have no objection to make on the proposed scheme of arrangement. The said notices shall be sent by registered post or by speed post or by courier or by hand delivery at the office of the aforesaid statutory authorities as required by sub-rule(2) of Rule 8 of the Companies (CAA) Rules, 2016. The aforesaid statutory authorities who desire to make any representation under Sub-section (5) of Section 230 shall send the same to this Tribunal with a copy of the same to the Applicant Companies within a period of 30 days from the date of such service.

27. The Application is allowed and disposed of in terms of the above directions.

S/d-

AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

S/d-

DEEP CHANDRA JOSHI
MEMBER (JUDICIAL)

RAHUL SINGH
LRA